

REGULATORY GOVERNANCE AND INDEPENDENT REGULATORS

WHY A STATUTORY REGULATOR → TRILEMMA WITH PAIRED DESIGN → INDEPENDENCE SPECTRUM → HOW CAPTURE HAPPENS LAWFULLY → TWO DIRECTIONS OF FAILURE → SIX-TEST DESIGN CHECKLIST

Read the thick cyan rail from Stage 00 to the final core synthesis. Each card uses a concept-appropriate structure; the grey E card is optional enrichment only and never repairs missing core content.

PRIMARY CORE FLOW SUBORDINATE EXTRA APPROVAL / REVIEW

Approval: FALSE • Pending user review • source generation g3 and all prior artifacts unchanged

CORE BEFORE EXTRA • prior artefacts unchanged • exact same master drives poster and tiles

00

STAGE 00

WHY A STATUTORY REGULATOR IS CREATED

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TECHNICAL COMPLEXITY

GENERALIST DEPARTMENTS CANNOT SET OR POLICE DETAILED SECTOR RULES

INDIVIDUAL LICENSING AND TARIFF DECISIONS REMOVED FROM DAILY POLITICAL

CONSISTENT RULE-MAKING THAT INVESTORS AND USERS CAN PLAN AGAINST

THE SAME INSULATION CREATES AN ACCOUNTABILITY PROBLEM AND A

MUST REMEMBER

REGULATORY GOVERNANCE SETS RULES, LICENCES, STANDARDS, MONITORING

CORE CLAIM

TECHNICAL COMPLEXITY → generalist departments cannot set or police detailed sector rules

INSULATION → individual licensing and tariff decisions removed from daily political direction

MECHANISM

PREDICTABILITY → consistent rule-making that investors and users can plan against

COST → the same insulation creates an accountability problem and a capture risk

CONSEQUENCE / LIMIT

MUST REMEMBER: Regulatory governance sets rules, licences, standards, monitoring,...

TECHNICAL COMPLEXITY → generalist departments cannot set or police detailed sector rules

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: PREDICTABILITY → consistent rule-making that investors and users can plan against.

01

STAGE 01

TRILEMMA WITH PAIRED DESIGN FEATURES

TRILEMMA WITH PAIRED DESIGN FEATURES

FIXED-TERM APPOINTMENT

ANNUAL REPORT LAID BEFORE PARLIAMENT

FEE OR CESS FUNDING

AUDIT OF THE REGULATOR'S OWN ACCOUNTS

TECHNICAL COMPOSITION

POLICY DIRECTIONS IN SPECIFIED CIRCUMSTANCES

STATUTORY RULE-MAKING

CORE CLAIM

AUTONOMY: fixed-term appointment → ACCOUNTABILITY: annual report laid before Parliament

AUTONOMY: fee or cess funding → ACCOUNTABILITY: audit of the regulator's own accounts

MECHANISM

AUTONOMY: technical composition → ACCOUNTABILITY: policy directions in specified circumstances

AUTONOMY: statutory rule-making → ACCOUNTABILITY: consultation with a published response

CONSEQUENCE / LIMIT

AUTONOMY: security of tenure → ACCOUNTABILITY: appellate tribunal and judicial review

AUTONOMY: fixed-term appointment → ACCOUNTABILITY: annual report laid before Parliament

CORE CLAIM

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CONSEQUENCE / LIMIT

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ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: statutory rule-making → ACCOUNTABILITY: consultation with a published response.

02

STAGE 02

INDEPENDENCE SPECTRUM

INDEPENDENCE SPECTRUM

LOW END

A MINISTRY-CONTROLLED DEPARTMENT

STRONG POLITICAL CONTROL, WEAK INSULATION

HIGH END

FIXED TENURE, OWN FUNDING, REMOVAL FOR CAUSE, TECHNICAL COMPOSITION

NO INDIAN REGULATOR SITS AT EITHER EXTREME; THE STATUTE

COMPARE THE FORMAL GRANT WITH THE WORKING REALITY FOR

CORE CLAIM

LOW END → a ministry-controlled department: strong political control, weak insulation

HIGH END → fixed tenure, own funding, removal for cause, technical composition

MECHANISM

REALITY → no Indian regulator sits at either extreme; the statute fixes the placement

WEDGE → compare the formal grant with the working reality for the same body

CONSEQUENCE / LIMIT

LOW END → a ministry-controlled department: strong political control, weak insulation

HIGH END → fixed tenure, own funding, removal for cause, technical composition

CORE CLAIM

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CONSEQUENCE / LIMIT

LOW END → a ministry-controlled department: strong political control, weak insulation

HIGH END → fixed tenure, own funding, removal for cause, technical composition

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: WEDGE → compare the formal grant with the working reality for the same body.

03

STAGE 03

HOW CAPTURE HAPPENS LAWFULLY

HOW CAPTURE HAPPENS LAWFULLY

INFORMATION ASYMMETRY

THE INDUSTRY KNOWS THE SECTOR BETTER THAN THE REGULATOR

DEPENDENCE ON INDUSTRY DATA, EXPERTISE AND PERSONNEL BECOMES STRUCTURAL

REVOLVING DOOR, FUNDED RESEARCH AND REPEAT-PLAYER ACCESS SHAPE THE

FRAMING CAPTURE

THE REGULATOR ADOPTS THE INDUSTRY'S DEFINITION OF THE PROBLEM

ENTRY BARRIERS DESCRIBED AS QUALITY STANDARDS; NO ILLEGALITY IS

INFORMATION ASYMMETRY → the industry knows the sector better than the regulator

dependence on industry data, expertise and personnel becomes structural

revolving door, funded research and repeat-player access shape the agenda

framing capture: the regulator adopts the industry's definition of the problem

outcome: entry barriers described as quality standards; no illegality is needed

CORE CLAIM

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ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: WEDGE — compare the formal grant with the working reality for the same body.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: outcome: entry barriers described as quality standards; no illegality is needed.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: SHARED CORRECTIVE → cooling-off periods, in-house capacity, user representation.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: 4 RULE-MAKING — pre-consultation, published response to comments, impact appraisal.

- BOUNDARY → no case, party, penalty amount or order date is asserted anywhere
- PARENT STATUTE → the Competition Act, 2002

06

STAGE 06

COMPETITION REGULATOR CARD

COMPETITION REGULATOR CARD

PARENT STATUTE

THE COMPETITION ACT, 2002

ANTI-COMPETITIVE AGREEMENTS, ABUSE OF DOMINANCE, REVIEW OF COMBINATIONS

NATIONAL COMPANY LAW APPELLATE TRIBUNAL, THEN THE SUPREME COURT

OFFICIAL PURPOSE

AN ENABLING COMPETITION CULTURE, CONSUMER WELFARE, ECONOMIC GROWTH

NO CASE, PARTY, PENALTY AMOUNT OR ORDER DATE IS

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
PARENT STATUTE → the Competition Act, 2002	APPEAL → National Company Law Appellate Tribunal, then the Supreme Court	BOUNDARY → no case, party, penalty amount or order date is asserted anywhere
FUNCTIONS → anti-competitive agreements, abuse of dominance, review of combinations	OFFICIAL PURPOSE → an enabling competition culture, consumer welfare, economic growth	PARENT STATUTE → the Competition Act, 2002

CORE CLAIM

- PARENT STATUTE → the Competition Act, 2002
- FUNCTIONS → anti-competitive agreements, abuse of dominance, review of combinations

MECHANISM

- APPEAL → National Company Law Appellate Tribunal, then the Supreme Court
- OFFICIAL PURPOSE → an enabling competition culture, consumer welfare, economic growth

CONSEQUENCE / LIMIT

- BOUNDARY → no case, party, penalty amount or order date is asserted anywhere
- PARENT STATUTE → the Competition Act, 2002

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: BOUNDARY → no case, party, penalty amount or order date is asserted anywhere.

07

STAGE 07

DOMINANCE AGAINST ABUSE

DOMINANCE AGAINST ABUSE

HOLDING A DOMINANT POSITION IN A DEFINED RELEVANT MARKET

PREDATORY OR UNFAIR PRICING; UNFAIR OR DISCRIMINATORY CONDITIONS

LIMITING PRODUCTION OR TECHNICAL DEVELOPMENT; DENIAL OF MARKET ACCESS

TYING AND BUNDLING; LEVERAGING DOMINANCE INTO AN ADJACENT MARKET

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
LAWFUL → holding a dominant position in a defined relevant market	UNLAWFUL → limiting production or technical development; denial of market access	LAWFUL → holding a dominant position in a defined relevant market
UNLAWFUL → predatory or unfair pricing; unfair or discriminatory conditions	UNLAWFUL → tying and bundling; leveraging dominance into an adjacent market	UNLAWFUL → predatory or unfair pricing; unfair or discriminatory conditions

CORE CLAIM

- LAWFUL → holding a dominant position in a defined relevant market
- UNLAWFUL → predatory or unfair pricing; unfair or discriminatory conditions

MECHANISM

- UNLAWFUL → limiting production or technical development; denial of market access
- UNLAWFUL → tying and bundling; leveraging dominance into an adjacent market

CONSEQUENCE / LIMIT

- LAWFUL → holding a dominant position in a defined relevant market
- UNLAWFUL → predatory or unfair pricing; unfair or discriminatory conditions

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: UNLAWFUL → tying and bundling; leveraging dominance into an adjacent market.

08

STAGE 08

TWO REGULATORY CLOCKS

TWO REGULATORY CLOCKS

SECTOR REGULATOR

LICENCES, TARIFFS, TECHNICAL STANDARDS, ENTRY CONDITIONS

COMPETITION REGULATOR

CONDUCT ACROSS THE WHOLE ECONOMY AFTER THE EVENT

A GENUINE JURISDICTIONAL QUESTION, NOT AN OVERSIGHT IN THE

REMEDIES ARRIVE AFTER THE MARKET STRUCTURE HAS ALREADY SHIFTED

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
SECTOR REGULATOR → ex-ante: licences, tariffs, technical standards, entry conditions	OVERLAP → a genuine jurisdictional question, not an oversight in the design	SECTOR REGULATOR → ex-ante: licences, tariffs, technical standards, entry conditions
COMPETITION REGULATOR → ex-post: conduct across the whole economy after the event	LIMIT → remedies arrive after the market structure has already shifted	COMPETITION REGULATOR → ex-post: conduct across the whole economy after the event

CORE CLAIM

- SECTOR REGULATOR → ex-ante: licences, tariffs, technical standards, entry conditions
- COMPETITION REGULATOR → ex-post: conduct across the whole economy after the event

MECHANISM

- OVERLAP → a genuine jurisdictional question, not an oversight in the design
- LIMIT → remedies arrive after the market structure has already shifted

CONSEQUENCE / LIMIT

- SECTOR REGULATOR → ex-ante: licences, tariffs, technical standards, entry conditions
- COMPETITION REGULATOR → ex-post: conduct across the whole economy after the event

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: LIMIT → remedies arrive after the market structure has already shifted.

09

STAGE 09

TRIBUNAL REFORM TIMELINE

TRIBUNAL REFORM TIMELINE

THE TRIBUNALS REFORMS ACT ABOLISHES NAMED APPELLATE BODIES, FUNCTIONS

19 NOVEMBER 2025

2025 INSC 1330 INVALIDATES FOUR HEADS OF RE-ENACTED PROVISIONS

SAME JUDGMENT

EARLIER MADRAS BAR ASSOCIATION STANDARDS MADE CONTROLLING

A NATIONAL TRIBUNALS COMMISSION DIRECTED WITHIN FOUR MONTHS

9 MARCH 2026

2021 → the Tribunals Reforms Act abolishes named appellate bodies, functions to High Courts

19 NOVEMBER 2025 → 2025 INSC 1330 invalidates four heads of re-enacted provisions

SAME JUDGMENT → earlier Madras Bar Association standards made controlling

SAME JUDGMENT → a National Tribunals Commission directed within four months

9 MARCH 2026 → interim extensions for specified incumbents to 8 September 2026

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
2021 → the Tribunals Reforms Act abolishes named appellate bodies, functions to High Courts	SAME JUDGMENT → earlier Madras Bar Association standards made controlling	9 MARCH 2026 → interim extensions for specified incumbents to 8 September 2026
19 NOVEMBER 2025 → 2025 INSC 1330 invalidates four heads of re-enacted provisions	SAME JUDGMENT → a National Tribunals Commission directed within four months	13 AUGUST 2026 → no establishment notification located; implementation unresolved

CORE CLAIM

- 2021 → the Tribunals Reforms Act abolishes named appellate bodies, functions to High Courts
- 19 NOVEMBER 2025 → 2025 INSC 1330 invalidates four heads of re-enacted provisions

MECHANISM

- SAME JUDGMENT → earlier Madras Bar Association standards made controlling
- SAME JUDGMENT → a National Tribunals Commission directed within four months

CONSEQUENCE / LIMIT

- 9 MARCH 2026 → interim extensions for specified incumbents to 8 September 2026
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09

STAGE 09

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CORE CLAIM

MECHANISM

CONSEQUENCE / LIMIT

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: 13 AUGUST 2026 → no establishment notification located; implementation unresolved.

10

STAGE 10

ARCHITECTURE PROPOSAL AGAINST ADOPTION

ARCHITECTURE PROPOSAL AGAINST ADOPTION

A UNIFIED FINANCIAL AGENCY ON A REGULATION-BY-ACTIVITY PRINCIPLE, 2013

SUBSUMING MOST FINANCIAL REGULATORS, EXCLUDING THE CENTRAL BANK

SEPARATE PROPOSAL

A DRAFT INDIAN FINANCIAL CODE CONSOLIDATING THE LEGISLATION

NEITHER IMPLEMENTED IN FULL; A 2015 MERGER IS A

PROPOSAL → a Unified Financial Agency on a regulation-by-activity principle, 2013

SCOPE → subsuming most financial regulators, excluding the central bank

SEPARATE PROPOSAL → a draft Indian Financial Code consolidating the legislation

OUTCOME → neither implemented in full; a 2015 merger is a partial related step only

CORE CLAIM

MECHANISM

CONSEQUENCE / LIMIT

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: OUTCOME → neither implemented in full; a 2015 merger is a partial related step only.

11

STAGE 11

ANSWER SPINE FOR A REGULATORY DEMAND

ANSWER SPINE FOR A REGULATORY DEMAND

STATUTORY CHARACTER FIRST

STATUTORY, NOT CONSTITUTIONAL, NOT EXECUTIVE-CREATED

MANDATE, FUNCTION AND APPELLATE ROUTE, THEN THE TRILEMMA AND

APPLY THE SIX TESTS AND NAME BOTH DIRECTIONS OF

GRADED VERDICT, DATED STATUS FOR ANYTHING UNRESOLVED, STATED QUESTION

EVIDENCE LIMIT

USE RBI, SEBI, TRAI, CERC AND CCI ONLY WITH

OPEN → statutory character first: statutory, not constitutional, not executive-created

BUILD → mandate, function and appellate route, then the trilemma and capture mechanism

CORRECT → apply the six tests and name both directions of capture with correctives

CLOSE → graded verdict, dated status for anything unresolved, stated question ownership

EVIDENCE LIMIT: AUTHORITY / IMPLEMENTATION: Use RBI, SEBI, TRAI, CERC and CCI only with

CORE CLAIM

MECHANISM

CONSEQUENCE / LIMIT

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CLOSE → graded verdict, dated status for anything unresolved, stated question ownership.

E

EXTRA

SUBORDINATE ENRICHMENT — ONLY AFTER THE COMPLETE CORE

OPTIONAL ADVANCED ENRICHMENT

THE 2025 PYQ'S FRAMING ("ASSESS THE IMPACT") INVITES AN

FSLRC'S UNIMPLEMENTED UNIFIED FINANCIAL AGENCY PROPOSAL AND THE SECOND

SEARCH-CUM-SELECTION COMMITTEES REDUCE BUT DO NOT ELIMINATE EXECUTIVE INFLUENCE

THE TRIBUNALS REFORMS ACT, 2021 AS ENACTED PRESCRIBED A

FSLRC (2013) ADDITIONALLY PROPOSED A DRAFT INDIAN FINANCIAL CODE

INDIVIDUAL SECTORAL REGULATORS (RBI, SEBI, TRAI, CCI, ETC.) HAVE

RBI'S RELATIVELY STRONG DE FACTO INDEPENDENCE (OWN FUNDING THROUGH

OPTIONAL SOURCE DEPTH

ADVANCED DEBATE

LEGACY / NUANCE

OPTIONAL STATUS — This optional depth is unnecessary for a competent core answer; use it only for added nuance after the complete core has been written.